

Russian Roulette

Russia talks tough and asks for more money in defence contracts it has signed with India. Is the partnership on the rocks?

It is the biggest symbol of Indo-Russian defence ties—a 44,000-tonne Soviet era aircraft carrier *Admiral Gorshkov*, purchased by India for \$1.6 billion (Rs 6,600 crore) in 2004. Now, the carrier, since renamed the *Vikramaditya*, epitomises the freeze in defence ties between the two nations. Sevmash, the Arctic shipyard refitting the carrier for \$750 million (Rs 3,000 crore) says it will take until 2010 and at least \$50 million (Rs 200 crore) more to complete the refit.

tracts, the MoD is also incensed at Russia's recent clearance to re-export RD-93 jet fighter engines from China to Pakistan, which they see as an absolute volte-face on an assurance ahead of President Putin's visit in January. Defence Minister A.K. Antony preferred to play down the rift: "Delays and escalations happen with all countries. We are asking them to deliver on time and negotiations are going on to sort out issues," he said.

Efforts are underway to resolve

around the time when India's sole aircraft carrier, the 48-year-old *Viraat*, will be decommissioned, leaving the Navy carrier-less. Over the past decade, brisk Indian orders for tanks and fighter aircraft have revived Russia's paralysed military-industrial complex. "With surging oil revenues, Russia no longer sees India as the only source of revenue," says a defence official. It is increasingly driving hard bargains with India which so far has been unable to leverage its buyer's clout with Russia. This year, it will float tenders for 126 multi-role fighters worth over \$9 billion (Rs 36,000 crore) where Russia's MiG-29 is a leading contender.

While India plans to diversify its defence basket to prevent dependence on a single source—US and European firms are leading contenders for huge

DELAYED ARRIVAL: The *Vikramaditya* at Sevmash



The biggest seller of arms to India is demanding a 10 per cent escalation, or roughly \$70 million (Rs 280 crore) in the cost of the overhaul. It's not just the *Vikramaditya*, Russia wants a similar cost escalation in contracts worth over \$10 billion (Rs 40,000 crore) it has signed with India in the past year (see box). It means India will have to now pay approximately \$1 billion (Rs 4,000 crore) more. Russia cites this as the result of the falling value of the dollar and the strengthening rupee over the past year.

Ministry of Defence (MoD) officials are livid. "Asking for cost escalation after a contract has been signed is practically unheard of," says an official. It's not just tough talk over con-

these issues before Prime Minister Manmohan Singh's visit to Russia due in November and Antony's visit in October. Defence Secretary Shekhar Dutt has visited Moscow twice in as many months in an unsuccessful bid to resolve the deadlock. The shipyard says the entire carrier has to be rewired, pushing up the costs. Russia says it cannot obtain the carrier's arrester-wire gear from Ukraine (crucial for recovering the MiG-29 aircraft which land on the carrier's deck). The yard has, meanwhile, diverted more than 75 per cent of the carrier's workforce for building three nuclear submarines for the Russian navy. "We will be lucky if we can get the carrier by 2012," shrugs a defence official. This is

BULLET FOR BULLET

RUSSIA

INDIA

3 Talwar class frigates worth \$1.6 bn

Pay more for weapon and equipment fits

Stick to terms of 2006 contract

140 Su-30 MKIs for \$8.5 bn

Cost escalation of 5 per cent

2002 contract says only 2.5 per cent

40 more Su-30 MKIs worth \$800 m

wants 10 per cent more

stick to terms of Feb 2007 deal

Vikramaditya \$700 million refit

Pay 10 per cent more over 2004 contract

2004 contract does not cater for this escalation

upcoming contracts worth over \$50 billion over the next decade. However, its armed forces are hopelessly dependant on Russia for spares support for its existing arsenal, more than 70 per cent of which is made in Russia. Defence officials also see the hard stance as a signal, on the eve of the Indo-US nuclear deal, not to take its secret assistance in India's strategic programmes for granted. Russian engineers are quietly helping build India's nuclear submarine, the Advance Technology Vessel. Next year, it will transfer an Akula class nuclear-powered submarine on a 10-year lease to train Indian crews. Clearly, India's tough talking options are limited.

by Sandeep Unnithan